

NSM Bankruptcy Claim

Attached for your review and comment is a draft of the indemnification portion of a claim by Enron entities in the NSM bankruptcy.? I have tried to make the claim as big as possible, which makes it rather vague and wishy-washy.? Maybe you can suggest changes.

At the risk of differing with Lisa and Paul, I really do not understand why this is a good idea.? It seems to me that any claim by Enron is an unsecured claim, way down in priority, clearly behind all of the bondholders, at least to the extent of their security.? I don't understand how this claim creates any threat to the plaintiffs or settlement pressure on anyone.

In addition, I hate saying the things we have to say to state a claim.? In the litigation, we consistently say that we did nothing wrong, we were victims too, the few people who did sue us should see their mistake and dismiss us.? Now we propose to file a public document saying the opposite: that we fear the suits that have been filed and we expect more, producing tens--maybe hundreds--of millions of dollars of exposure.

While we should continue to move this aspect of Enron's claim along, so we are ready to file if we want to, I think we should consider a conference call among Lisa, Paul, Richard, and me to talk through the wisdom of the indemnification claim.? (I don't worry nearly so much about a fraud claim on Enron's securities purchases, because that does not go against our litigation position, although I still don't see what good such a claim would do.)

Steve Howard
Milbank, Tweed, Hadley & McCloy LLP
showard@milbank.com
213-892-4478; 213-892-4748 (fax)

<<NSM Claim.doc>>

This e-mail message may contain legally privileged and/or confidential information. If you are not the intended recipient(s), or the employee or agent responsible for delivery of this message to the intended recipient(s), you are hereby notified that any dissemination, distribution or copying of this e-mail message is strictly prohibited. If you have received this message in error, please immediately notify the sender and delete this e-mail message from your computer.

- NSM Claim.doc